THE DEPARTMENT OF STATE

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U.S.–U.K. Financial Agreement

THE PRESIDENT'S MESSAGE OF TRANSMITTAL TO CONGRESS
Address by UNDER SECRETARY ACHESON

The Wheat Crisis in Europe

By UNDER SECRETARY OF STATE ACHESON, UNDER SECRETARY OF AGRICULTURE HUTSON, and JAMES A. STILLWELL

The General Assembly of the United Nations

RESOLUTION ON ATOMIC COMMISSION
REPORT FROM LONDON

The Charter and the Promotion of Human Rights

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Sino-Soviet Treaty of Friendship and Alliance

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Agreement at Yalta on the Kuriles and Sakhalin

At his press and radio news conference on January 29, the Secretary of State said that he was advised that at Mr. Acheson's press conference he expressed the understanding that the Yalta decision as to the islands that were in question was that the Russians should occupy them but that no final award had been made. Explaining that he had never seen the original agreement and that he had first learned of it after the surrender of the Japanese, the Secretary disclosed that under the agreement the southern half of Sakhalin, which at one time was Russian territory and which was ceded to Japan about 1875, was, under agreement between Mr. Roosevelt, Mr. Churchill, and Mr. Stalin, to be returned to the Soviet Government after the surrender of Japan. He added that the same agreement was made as to the Kurile Islands and some islands adjacent to the southern half of Sakhalin.

Asked whether it would be necessary to have a peace treaty to formalize that transfer, the Secretary replied in the affirmative, adding that that was his understanding of all those matters. Pointing out that someone might raise the question that where territory had previously been in possession of a government it would not be necessary, the Secretary said that it was his understanding that any cession of territory must be legalized in a treaty, either a treaty between two countries, or, where a treaty has been forced upon a country that has surrendered, the government is required to sign. He said that he held that view as to the territory adjacent to the Curzon Line and Silesia. A correspondent pointed out that in the case of the Curzon Line that had been done within a recently announced treaty between the Soviet Union and Poland. Replying, the Secretary said that it could be done only with a treaty between two governments, pointing out that that had not been done in the case of Japan in answer to this particular question. He asserted that whatever government exists in Japan should enter into a treaty. Asked whether the agreement was so phrased that it could be interpreted as an award of those areas to the Soviet Union, or merely that Britain and the United States would support the Soviet Union's claim to it in an eventual peace treaty, the Secretary replied that it was his recollection that the language in one of the agreements was that it should be turned over, but he added that there was not any question about what was intended at Yalta because at Yalta he heard Mr.

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By sticking to the point the American negotiators were able to negotiate a bargain which promotes the fundamental interests of the United States. Had they done otherwise, I fear that like the dog in Aesop's fable they might have lost the bone they had. "Dollar diplomacy" is not necessarily an evil, but it does have its limits, and it is well to remember what they are. One of them is that between self-respecting people political concessions are not to be bought for money.

This transaction should be judged for what it is. It does not solve all the troubles of the world, or even all the questions between us and the British Commonwealth countries. It does solve the largest and on the whole the most difficult international financial problem that confronts us, and lets us go ahead to the solution of a host of other questions. Four months after the war's end I think that is a great accomplishment.

I have talked a good deal tonight about trade and money, and little about the political foundations of the peace. The political foundations are essential, but one thing we have learned since 1918 is that they are not enough. The organization of the peace means its organization on all fronts. We need not only the Security Council of the United Nations, but the Economic and Social Council also. We need not only the International Court of Justice, but the International Monetary Fund. We need not only the International Labor Organization, but the Food and Agriculture Organization of the United Nations. We need not only the United Nations Educational, Scientific and Cultural Organization, but the International Bank for Reconstruction and Development and the International Civil Aviation Organization. And I am convinced that when we search our minds we shall decide that we need the International Trade Organization also, and the British loan that makes it possible.

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Roosevelt on at least one or two occasions take the position that as to cession of territory, it was a matter that had to be settled in the peace treaty. He said that that was always Mr. Roosevelt's view and that at Potsdam Mr. Truman took the same position as to the Silesian area, making it plain that it was an agreement, and that at the proper time this Government would support it.

In reply to a query, the Secretary said that the agreement was signed on the last day of the Conference, a fact which he thought was the explanation of his knowing nothing about it. Asked whether the agreement was formalized in writing, Mr. Byrnes replied in the affirmative. He declared that he had no criticism of anybody about his not knowing of it, for there were very good reasons at that time why it should be kept a top secret. Calling attention to the fact that the Soviet Government took the position that it would take 90 days for them to move their troops from Germany to participate in the war against Japan, the Secretary pointed out that in February, as the Soviets were starting their drive that culminated in the collapse of Germany on the eastern front, it was exceedingly important that a statement of this kind should not have been made because it would have been information to Japan that the Soviet Union was going into the war. Asked whether Stalin had agreed to enter the Far Eastern war earlier in the Conference, the Secretary said that that was his understanding. Asked whether it was at Yalta that there was understanding that it would take 90 days to move to the Far East, Mr. Byrnes said that it was stated to the United States military people there. Asked whether, at the time that the agreement about the islands was entered into, it was entered into with full knowledge of the United States Chiefs of Staff who were represented at Yalta, the Secretary replied in the affirmative.

Asked whether the Russians committed themselves to any concessions to the United States for any territory it might want in Pacific islands, the Secretary said that as far as he had any information, they did not. Asked whether there were any land groups or sea areas involved in the agreement aside from Sakhalin and the Kuriles, the Secretary replied in the negative but revealed that in addition to those two points, the agreement had reference to the Port Arthur - Dairen situation, which was thereafter formalized in a treaty between China and the Soviet Union.[1] Asked whether the Sino-Soviet agreement followed precisely the terms first projected at Yalta, Mr. Byrnes replied in the affirmative, but he added that there might have been some slight deviation. Asked whether there was any discussion at the Conference of the disposition of the other Pacific islands, the Secretary explained that he was not at the Conference and therefore could not tell the correspondents what took place.

A correspondent inquired why there had to be an agreement at all at that time. Mr. Byrnes said he did not know why there would have to be an agreement. The Secretary replied in the negative when asked whether there was any reference at Yalta to the possibility of a trusteeship for those areas. Asked whether there was any reason why the Yalta agreement with reference to the Kurile Islands should not be published, Mr. Byrnes said that he saw no reason.

When the President was asked at his press and radio news conference on January 31 when he had learned of the Yalta agreement on the Kurile Islands, he said that he did not know the exact time but that it was some time last summer previous to the Potsdam Conference. He added that it was necessary for him to be familiar with the agreement before attending the Potsdam Conference. Asked where he had found the agreement, Mr. Truman said that it had never been lost, that it had been filed in the private files of the President of the United States, that it was there all the time. Questioned about the likelihood of making the agreement public, the President explained that the State Department was inquiring of Great Britain and the Soviet Union to determine whether they have any objections, adding that if they do not it will be made public. Asked whether the agreement was in the form of a treaty, the President replied that it was just like the Yalta and Potsdam Agreements. Asked whether any more of these agreements would be brought up later, the President said that he couldn't answer that, but added that most of them had been made public. He explained that this type of an agreement constituted a wartime understanding between the Allies as to the best method of using their combined forces to win the war. In reply to a question, the President denied that the United States was demanding air bases on the Kuriles.

[1] See p. 201.